Micron Technology, Inc. (MU)

Long-Term Conviction Report — Deep-Dive Mode

MU | B-SM (Cyclical) | Price €765 ($856.50) — Nov 2, 2026 intraday ~11:05 ET, yfinance | Report date 2026-11-02

VERDICT — GREEN (WEAK) · Verdict Score 6.3 / 10

Undervalued (F-Score 62, at the threshold) | MoS Gate: BASE | QUALITY (Compounder 4.5/9) | AI Impact: TAILWIND

DCF Bear €437 ($489) / Base €830 ($929) / Bull €1,143 ($1,280) vs price €765 ($856): price is 0.92× Base (8% below it) and 0.67× Bull. On Oct 5 it was 1.21× Base.

Default Warnings: none triggered (margins up 5 quarters running, OCF up, no estimate cut, no customer ≥ 10%).

Main risks:

- Cycle / new capacity: Bear €437 ($489) (−43%) if the downturn starts in FY28 as new fabs land (late 2027–28).
- Consensus dependence: at 80% of consensus EPS the Base falls to $840 (€750), above price, so the gate flips. The verdict needs consensus to be roughly right.
- Discount rate: Base = price at a 12.25% WACC (house 11.15%); with β 2.0 (13.9%) the Base is $773 (€690), below price. Bear = price only at 6.6%.
- China competition: CXMT targeting 4F² DDR5 server modules by year-end; PC makers sourcing CXMT. Mainland China + Hong Kong = 11% of FY26 revenue.
- Regime / momentum: today's macro shows SMH Stage 4 CONFIRMED and a SHORT bias. MU is −20% in a month and memory peers are −17% to −35%. The re-rating can run further than the value case.

Personal analysis, not financial advice. DCF values are illustrative scenario modelling, not price targets. EUR at 1 USD = €0.8930 (EUR/USD 1.1198, macro report 2026-11-02).

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Summary and what changed since the 2026-10-05 report

Verdict: GREEN (WEAK), score 6.3/10. QUALITY business, MoS Gate BASE. Price €765 ($856) is now 8% below the Base case €830 ($929). The business did not change. The price fell 20% in a month while consensus held (FY27 EPS $176.50 vs $176.42 on Oct 5) and the Base value rose 4% on a lower risk-free rate and one month less discounting. The gate is thin: it fails at β 2.0, at 80% of consensus, and at a WACC above 12.25%.

Item	2026-10-05 report	This report	Why it changed
Price	$1,074.89 (Oct 2 close)	€765 ($856) (Nov 2 intraday)	−20.3%: sector-wide memory de-rating (Step 0)
Risk-free / WACC	5.24% → 11.5%	4.88% → 11.15%	10Y fell below 4.95% support (macro 2026-11-02)
FY27 / FY28 consensus EPS	$176.42 / $205.95	$176.50 / $207.76	Flat / +0.9%
Net cash per share (ex deposits)	$48.35	$48.28	10-K: cash + investments $73.45B − debt $5.18B − deposits $12.75B
Bear / Base / Bull	$472 / $892 / $1,222	$489 / $929 / $1,280	Lower WACC, valuation date moved a month
Price ÷ Base	1.21×	0.92×	Gate NONE → BASE
Compounder	QUALITY 5/9	QUALITY 4.5/9 (ROIC 5-yr avg counted as borderline)	New half-credit rule for borderline passes
Flag	YELLOW	GREEN (WEAK) 6.3/10	New Verdict Score rule + price below Base
Filings	Q4 8-K + prepared remarks	FY26 10-K (filed Oct 9) read	New mandatory Filings Review

Corrections against the Oct 5 report: the 10-K puts RPO at **$134B**, not ~$150B (that figure came from the call). Segment figures in Step 1 are now **full FY26** from Note 20, not Q4 only.

0. Recent Context

Default Warnings check (last 5 quarters)

Warning	Series / evidence	Triggered?
Margin deterioration (3+ quarters)	GAAP gross margin 44.7% → 56.0% → 74.4% → 84.6% → 86.8% (Q4 FY25 → Q4 FY26); operating 32.6% → 45.0% → 67.6% → 80.4% → 80.7%; net 28.3% → 38.4% → 57.8% → 68.1% → 69.5%. Q1 FY27 guide 86.25% non-GAAP (−0.75	No

	pt) is one quarter, not three.	
Cash conversion break	OCF $5.73B → $8.41B → $11.90B → $25.39B → $43.97B, rising with net income	No
Estimate cuts (> 5% in 30 days)	FY27 EPS 28 up / 2 down revisions in 30 days; level $176.50	No
Customer concentration	10-K Note 21: no customer ≥ 10% in FY26 (one at 17% in FY25, one at 10% in FY24). Top ten ~half of revenue in each of the last 3 years. Top five not disclosed.	No

Last reported quarter: fiscal Q4 2026 (ended Sept 3, 2026; reported Sept 30)

Metric	Q4 FY26	Prior	Change
Revenue	$54.23B	Q3 $41.46B / Q4 FY25 $11.32B	+31% QoQ / +379% YoY
Gross margin (non-GAAP / GAAP)	87.0% / 86.8%	Q3 84.9% (non-GAAP)	+2.1 pt
EPS (non-GAAP / GAAP)	$33.42 / $32.87	Q3 $25.11 non-GAAP	+33% QoQ
OCF / capex / FCF	$43.97B / $11.11B / $32.86B	Q3 $25.39B / $7.83B / $17.56B	FCF +87% QoQ
FY26 revenue / EPS (non-GAAP)	$133.19B / $75.52	FY25 $37.38B / $8.29	+256% / +811%

Guidance for Q1 FY27 (quarter ends ~Dec 3; results expected mid/late December, date not confirmed: yfinance shows Dec 23, press Dec 16): revenue $61.5B ± $1.5B, gross margin ~86.25%, EPS $38.15 ± $1.00. Street: $61.74B / $38.29 (34 / 30 analysts). Capex net of incentives ~$11.5B in Q1, ~$25B in H1, higher in H2 (10-K).

Filings — what they add (FY26 Form 10-K, filed 2026-10-09)

The latest quarterly report is the Q4 FY26 one inside this 10-K. The Q1 FY27 10-Q isn't due until January 2027.

Item	Filing figure	Why it matters
Geographic mix (customer HQ)	U.S. 68.6% FY26 (64.5% FY25, 52.4% FY24); Taiwan 12.7%; Mainland China 6.3%; Hong Kong 4.7%; Other APAC 4.3%; Japan 1.6%; Europe 1.3% (Note 22)	U.S. hyperscaler weight rising. China + HK fell from 16.4% (FY24) to 11.0%, which limits the CXMT-substitution risk.
Segments FY26 (Note 20)	CMBU $43.1B (32%), CDBU $37.6B (28%), MCBU $36.6B (27%), AEBU $15.9B (12%); operating margin 72–	Every unit earns peak margins, so the earnings swing is memory pricing, not

	80% in every unit	mix.
Customer concentration (Note 21)	No customer ≥ 10% in FY26; one at 17% in FY25; top ten ~half of revenue each year; data center ~60% of revenue	Default warning not triggered; dependence is on the data-center end market, not one name.
Backlog / RPO (Note on revenue)	$134B, of which ~1/4 recognised in the next 12 months, all within 5 years. Excludes agreements without fixed prices or price bands. Based on committed volumes × minimum pricing.	~$33B/yr of floor-priced revenue = about 25% of FY26 revenue, as a contractual minimum.
Strategic customer agreements	Take-or-pay; most have min/max price bands. 'Even at floor pricing' gross margins 'meaningfully above our peak quarterly margins in any past cycle'. Deposits $12.75B received in FY26, repayable 2029–31. Letters of credit $7B.	This is the core of the higher-mid-cycle argument. Deposits are returnable, so they're treated as debt (below).
Debt-like items	Debt $5.18B; customer deposits $12.75B; PP&E purchase obligations $4.18B (≤ 1 yr)	Deposits and debt deducted; purchase obligations sit in capex/FCF.
Legal (Note 11)	Netlist: all claims dismissed under settlement and licence, Oct 5, 2026. Open: DRAM antitrust class action (N.D. Cal., Jun 25, 2026; Hawaii Jul 17), YMTC patent and false-advertising suits, BeSang, AMT and Nextech patent suits. No accruals disclosed.	Netlist (HBM patents, ITC case) removed. Antitrust is the largest open item.
Risk factors stressed (Item 1A)	1) competition incl. CXMT and government-backed entrants; 2) industry capex raising supply; 3) top-ten / data-center concentration; 4) China CAC 2023 ban + export controls; 5) CHIPS Act conditions on buybacks; 6) capex may not earn its return; 7) labour action at fabs; 8) cyber	Feeds the Bear case and checklist RSK-1.
Workforce	~61,000 employees; 'certain of our employees have formed or joined labor unions'	Checklist MGT-7.
Capital return	Buyback authorisation raised Oct 8, 2026 to **$35.16B** total (~3.6% of market cap). Repurchases can start **Dec 9, 2026** (CHIPS window). FY26 repurchases: $650M for 2.5M shares	First large buyback in this cycle. It is mechanical (100% of adjusted FCF), so it will buy at whatever price prevails.

	(~$260/share).	
Liquidity	Cash and marketable investments $73.45B; $2.0B revolver undrawn	Net cash ex deposits $55.5B = $48.28/share.
Working capital	Inventory $10.4B, DIO 129 (+9 days QoQ: end-of-life build-ahead)	Watch for a second rise.

Recent news (Oct 5 – Nov 2, 2026)

Date	Event	Read
Oct 5	Netlist litigation settled (licence)	Removes HBM patent / ITC exclusion tail risk
Oct 8–9	Buyback raised to $35.16B (from Dec 9); 10-K filed	Capital-return catalyst inside the next quarter
Oct 10–13	CXMT president: 4F² DDR5 RDIMM server modules targeted by year-end. MU −5% intraday Oct 13; SK Hynix −4%	Commercial readiness unverified (yields, capacity, qualification). Rosenblatt and BofA call the 'leapfrog' a paper tiger forced by EUV sanctions
Oct 16	MU −3.5% to $898.77 on 'durability of the boom'. Bernstein: slower price increases ≠ falling prices	Debate moves from level to rate of change: classic late-cycle tell
Oct 21–22	LRCX −6% after hours; SMH Stage 4 confirmed (macro). MU low $849.25 on Oct 22	Semis-wide de-rating
Oct 28	SK Hynix Q3: revenue KRW 104.6T, ~80% operating margin, DRAM ASP +high-20s% QoQ, bits +~10%. DRAM + HBM 'effectively sold out' through 2029. MU +5.9% to $983.23	Peer data confirms tight supply and rising prices into 2027
Oct 30	MU −4% to −6% on renewed CXMT 4F² claims and memory-cost demand worries (Intel: PC units down low double digits in 2026)	Demand destruction at the low end is the first crack to watch
Nov 2	MU $856.50 (−3.2% intraday; −2.6% at the macro snapshot); semis lagged an ISM-led bounce	−20.3% in 21 sessions, below MA50 ($976), above MA200 ($749)

Micron itself has reportedly stopped its own 4F² DRAM research (Tom's Hardware, date not confirmed). It says the architecture adds cost and complexity without a meaningful density gain. That is consistent with the analysts' scepticism of CXMT's claim.

Macro overlay — today's /macro and /scan (2026-11-02)

- **Market bias SHORT.** Marks 6/7, CYCLE OVERRIDE on, Kindleberger Stage 4 CONFIRMED on SMH, Minsky 7/7. Regime: transitioning from stagflation-lite to reflation (medium confidence).
- **SMH $523.02 (€467.1)** is testing its 200-day average ($520.1 / €464.5) and is −7.3% below MA20 ($564.4 / €504.0). Stage 4 is only invalidated by a close above MA20 on > 1.2× volume. Today's /scan short screen re-armed semis shorts on failed bounces ($535–557) but said 'stand aside at the MA200 test'.
- **Equity-financed AI capex:** Oracle is raising $10B equity + $10B bonds; Marvell–Lumentum is all-stock. The macro report reads this as late-cycle financing of the AI build-out. It is a demand-durability question for HBM over 2027–28, not a 2026 one.
- **10Y UST 4.884%**, first weekly close below 4.95% support. It lowers the house WACC by 0.35 pt vs Oct 5 and raises every DCF value ~4%.
- **For the long-term verdict:** the macro regime doesn't change the business or the DCF. It tells you the de-rating can run further while Stage 4 holds. Memory peers fell 17–35% in a month alongside MU. **This is a multiple compression, not a fundamental miss**, which is why the price drop is treated as a better entry, not an open item (see the MoS staleness rule).

Consensus and price

Consensus (yfinance, Nov 2): FY27 EPS $176.50 (36 analysts, range $161.00–$214.70); FY28 $207.76 (36, range $136.00–$335.50); FY27 revenue $275.5B (41); FY28 $319.6B (42). Mean target $1,561.91 (45 analysts), recommendation 1.37 (Strong Buy / Buy). Revisions: FY27 28 up / 2 down in 30 days. yfinance's '30 days ago' FY27 figure ($161.69) conflicts with the $176.42 recorded in our Oct 5 report and is not used. Price: 52-week range $201.14–$1,213.18 (closes), 1 month −20.3%, 3 months −4.0%, 12 months +283%. MA50 $976.39, MA200 $749.23. Raw beta 2.40.

1. Business Overview

Business unit (FY26, 10-K Note 20)	What it does	Revenue	Share	Gross / operating margin
CMBU — Cloud Memory	HBM for all data-center customers; memory for hyperscalers	$43.09B	32%	79.6% / 72.5%
CDBU — Core Data Center	Data-center SSDs and NAND; DRAM for OEM, enterprise, NeoCloud	$37.59B	28%	84.0% / 78.6%
MCBU — Mobile & Client	PC and smartphone DRAM/NAND	$36.60B	27%	82.5% / 79.8%
AEBU — Automotive & Embedded	Auto, industrial, consumer	$15.89B	12%	75.5% / 70.6%
Total		$133.19B	100%	80.7% / 74.6%

FY25 → FY26 by unit: CMBU 3.2×, CDBU 5.2×, MCBU 3.1×, AEBU 3.3×. Every unit tripled, so this is a pricing cycle across all end markets, not an HBM-only story.

Region (customer HQ, Note 22)	FY2024	FY2025	FY2026
United States	$13.17B (52.4%)	$24.11B (64.5%)	$91.32B (68.6%)
Taiwan	$4.71B (18.7%)	$5.67B (15.2%)	$16.95B (12.7%)
Mainland China	$3.05B (12.1%)	$2.64B (7.1%)	$8.34B (6.3%)
Hong Kong	$1.07B (4.3%)	$1.14B (3.0%)	$6.29B (4.7%)
Other Asia Pacific	$1.33B (5.3%)	$1.91B (5.1%)	$5.78B (4.3%)
Japan	$0.84B (3.3%)	$0.90B (2.4%)	$2.07B (1.6%)
Europe	$0.82B (3.3%)	$0.63B (1.7%)	$1.72B (1.3%)
Other	$0.13B (0.5%)	$0.38B (1.0%)	$0.73B (0.5%)

Principal markets: data center ~60% of FY26 revenue (10-K). Customers: hyperscalers, GPU/accelerator platforms (NVIDIA custom HBM4E), PC/phone OEMs, auto. Competitors (10-K list): Samsung, SK Hynix, Kioxia, SanDisk, CXMT, YMTC. Share (2026 sources): DRAM ~22–24%, HBM ~21%, NAND 13–15%. TAM: the company states HBM TAM > $100B by 2028. Total-memory TAM estimates conflict, so no penetration figure is computed.

2. Routing

B-SM (Semiconductors & AI infrastructure), valued as a **Lynch Cyclical** with the Through-Cycle Valuation (Memory rule, Semiconductors appendix). Data center is ~60% of revenue, but memory pricing drives every unit's margin (72–80% operating in all four). That makes it one multiple regime: no Sum-of-the-Parts.

3. Categorization (Lynch)

Cyclical. EPS FY18 $11.51 → FY20 $2.37 → FY22 $7.75 → FY23 −$5.34 → FY25 $7.59 → FY26 $74.33 (GAAP). Gross margin went from −9.1% (FY23) to 86.8% (Q4 FY26), and the peak-to-trough fall in the last cycle (45% → −9%) qualifies under the 'margin swing = a fall' rule. Consensus itself shows the turn (FY29 −1.6%, FY30 −32% on the Seeking Alpha path). PEG n/m.

4. Earnings Quality (Penman)

Check	FY26 / latest	Read
Accrual ratio (NI − OCF) / avg assets	($84.97B − $89.68B) / $139.3B = −3.4%	Cash-backed; no Sloan flag
Quarterly NI vs OCF	Q4 NI $37.70B vs OCF $43.97B; Q3 $28.24B vs $25.39B	OCF ≥ NI over the year

Non-GAAP vs GAAP EPS	$75.52 vs $74.33 (FY26)	1.6% gap — negligible
FCF / net income	$62.31B / $84.97B = 73%	Capex absorbs a quarter of earnings
Customer deposits	$12.75B, in financing cash flow	Excluded from FCF and net cash
Receivables	$36.2B, ~61 days of Q4 revenue (FY25 ~58)	No pull-forward signal
Inventory	$10.4B, DIO 129 (+9 days QoQ)	Explained (EOL build-ahead); watch
RNOA vs ROE	Debt $5.18B vs equity $138.4B; net cash	ROE is operating, not leverage
Dilution	Diluted shares 1,131M (Q4 FY25) → 1,147M (Q4 FY26), +1.4%	SBC; no equity raise
Margin trend (GAAP gross, 5 quarters)	44.7% → 56.0% → 74.4% → 84.6% → 86.8%	Rising; Q1 FY27 guided −0.75 pt (pay increase through inventory)

Persistent vs transitory: operating income from memory is persistent in kind but cyclical in level. ROIC (NOPLAT / average operating invested capital): FY22 18.3%, FY23 −8.8%, FY24 1.6%, FY25 14.7%, FY26 ~119%.

5. Valuation — DCF (Koller) + Multiples Ladder

WACC

Input	Value	Note
Risk-free rate	4.88%	10Y UST 4.884%, macro_report_2026-11-02
Equity risk premium	4.5%	Agent calibration
Beta	1.4 (house rule)	yfinance raw 2.40, clipped to 0.7–1.4; override β 2.0 shown alongside
Cost of equity	11.18%	rf + β × ERP
Debt weight / after-tax cost	0.5% / ~4.7%	Debt $5.18B vs market cap ~$969B
WACC	11.15% (override 13.9%)	Stress +3 pts: 14.15%

Legacy / debt-like items

Item	Amount	Treatment
Total debt (incl. finance leases)	$5.18B	Deducted

SCA customer deposits (repayable 2029–31)	$12.75B	Deducted (returnable)
Cash and marketable investments	$73.45B	Added → net cash $55.52B = $48.28/share on 1.15B diluted shares
PP&E purchase obligations	$4.18B	Not deducted: inside capex/FCF
Letters of credit from customers	$7B	Not an asset or liability; security only
Antitrust class action, patent suits	No accrual disclosed	Tail risk; not quantified
CHIPS Act grant conditions	Buyback limits years 3–5	Tail risk on capital return

Consensus reconciliation

Fiscal year (ends ~Sept)	Consensus EPS	Consensus revenue	Base case	Source
FY27	$176.50 (36; $161–$215)	$275.5B (41)	$169.16 (rebuild top)	yfinance, Nov 2
FY28	$207.76 (36; $136–$336)	$319.6B (42)	= consensus	yfinance, Nov 2
FY29	$204.35	n/a	= consensus	Seeking Alpha P/E path (Oct 5 read, not refreshed)
FY30	$138.87	n/a	= consensus	Seeking Alpha P/E path (Oct 5 read, not refreshed)
Check: Q1 FY27 guide × 4	—	$246B	Base FY27 above it	8-K guidance

Consensus sanity check

1. **Rebuild of FY27 from the Q1 guide** (unchanged since Oct 5: no new guidance): $157.19 (3% QoQ, 86% GM) to $169.16 (7% QoQ, 87% GM). Consensus $176.50 is 4.3% above the rebuild top. That is optimistic, not stretched (the flag is > 10%). **Base FY27 = $169.16.**

2. **Run rate vs growth:** Q4 × 4 = $216.9B. FY27 consensus $275.5B is +27%, consistent with the guided industry bit growth (DRAM low-20s%, NAND mid-20s%) plus modest price. SK Hynix's Q3 (DRAM ASP +high-20s% QoQ, Q4 bits +mid-20s%) supports the top end.

3. **Dispersion:** FY27 high/low 1.3×; FY28 2.5×. Analysts agree on FY27 and disagree on the cycle from FY28. FY29–30 have no visible count or range and are the weakest inputs.

4. **Revisions:** FY28 +0.9% since Oct 5. Neutral for a Cyclical; not used to support the Base.

5. **Haircut test:** Base structure with consensus EPS scaled for FY27–FY30:

Consensus EPS scaled by	Value per share	Price ÷ value	MoS Gate
100% (Consensus case)	€834 ($934)	0.92×	BASE
90%	€792 ($887)	0.97×	BASE (thin)
80%	€750 ($840)	1.02×	NONE
70%	€708 ($793)	1.08×	NONE

The gate flips between 90% and 80% of consensus: the BASE verdict depends on consensus being roughly right. It is still the mid-cycle level, not FY27–28, that moves value most (sensitivity below).

Scenarios — consensus cycle, then mid-cycle

Structure (same as Oct 5): explicit EPS path; per-share FCF = EPS × conversion (FY27 74%, FY28 80%, FY29 85%, later 92%), discounted at 11.15% from Nov 2, 2026 (first year-end 0.83 years away). Terminal = mid-cycle EPS × (1 − g/RONIC) ÷ (WACC − g), g = 3%. Plus net cash $48.28/share.

Scenario	Explicit EPS path	Mid-cycle EPS	RONIC	Terminal % of value	Value @ 11.15%	@ β 2.0 (13.9%)	@ WACC +3 (14.15%)
Bear	FY27 $169, FY28 $110, FY29 $50	$32.6	12%	45%	€437 ($489)	$415	$410
Base	FY27 $169, FY28 $208, FY29 $204, FY30 $139	$60.9	18%	45%	€830 ($929)	$773	$761
Bull	FY27 $177, FY28 $208, FY29 $204, FY30 $180, FY31 $140	$101.7	25%	51%	€1,143 ($1,280)	$1,025	$1,006

Bear (named risk: new capacity). The downturn starts in FY28 as SK Hynix M15X/Yongin, Samsung P4/P5, Micron ID1/Singapore/Japan and CXMT capacity land late 2027–28. SCA floors hold, spot DRAM/NAND prices halve. Mid-cycle revenue ~$150B at a 25% net margin. A second named risk is low-end demand destruction (PC units down low double digits in 2026 on memory cost, per Intel); it pulls in the same direction. **Base:** consensus through FY30, including its own −32% FY30 step. Mid-cycle ~$200B revenue at a 35% net margin, supported by the SCA floor-margin statement. **Bull:** tightness lasts into 2030 (SK Hynix: 'sold out through 2029'); mid-cycle ~$260B at 45%.

MoS Gate: BASE. Price €765 ($856) = 0.92× Base, 1.75× Bear, 0.67× Bull (price date Nov 2, 2026 intraday). **Stress test:** Bear at WACC +3 = $410 (€366). Price equals the Bear only at a 6.6% WACC and the Base at 12.25%. The gate holds within 1.1 pt of WACC and ~8% of price, so it is graded WEAK.

Through-Cycle Valuation (Cyclicals)

Item	Value

PV of consensus FY27–FY30 (EPS basis / FCF basis)	$577 / $471 per share
Net cash per share (ex deposits)	$48
Residual left for after FY30 (EPS / FCF basis)	$231 / $338
Required mid-cycle EPS at 12× (EPS / FCF basis)	$28.9 / $42.2 (€25.8 / €37.7)
Last full cycle FY18–FY25: trough / average / peak EPS	−$5.34 / $4.40 / $11.51
Required ÷ last-cycle average	7× / 10× (Oct 5: 13× / 18×)
Required ÷ last-cycle peak	2.5× / 3.7× (Oct 5: 5.1× / 6.8×)

What has to be true: after the consensus cycle, Micron earns $29–42 per share in an average year, 2.5–3.7× its best year of the last cycle. That is much less demanding than on Oct 5 (5–7×). The SCA floors ('margins above any prior-cycle peak even at floor prices') make 2.5–3.7× the old peak plausible: FY26 revenue is already 4× FY18's peak and RPO alone covers ~$33B/yr at minimum prices.

Multiples Ladder

Anchor	Multiple	Value per share
SK Hynix fwd P/E 2.7× (CY27 consensus, yfinance) × MU FY27 EPS	2.7×	€424 ($475)
Bear DCF	2.9× FY27 / 2.4× FY28	€437 ($489)
Samsung fwd P/E 3.0× (CY27) × FY27 EPS	3.0×	€470 ($526)
Lynch mid-cycle 12× on Base mid-cycle EPS $60.9 (terminal only)	12×	€653 ($731)
Price today (Nov 2)	4.85× FY27 / 4.1× FY28	€765 ($856)
SanDisk 4.9× FY27 (to Jun 2027) × FY27 EPS	4.9×	€777 ($870)
Base DCF	5.5× FY27 / 4.5× FY28	€830 ($929)
Bull DCF	7.3× FY27 / 6.2× FY28	€1,143 ($1,280)
IT-sector median fwd P/E (~23.5×) × FY27 EPS	not meaningful for a cyclical	—

Read: MU trades at a premium to the Korean peers (2.7–3.0×) and in line with SanDisk. The Base DCF (5.5×) sits ~12% above the top of the peer range. One-line reason: Samsung carries foundry/handset drag and both Korean names a governance/Korea discount, so the US-listed pure-plays (MU, SNDK) are the closer comparison. Relative value is in the **middle** of the ladder, not cheap against peers. All memory peers fell 17–35% in the last month (SK Hynix −19.7%, Samsung −17.4%, SanDisk −34.7%).

Capex-adjusted multiple (capex > 20% of revenue)	Value (at $969B market cap)
P/E TTM (GAAP)	11.5×
P/operating cash flow TTM	10.8×
P/FCF TTM (FCF $62.3B, 10-K)	15.6× (FCF yield 6.4%)
EV/EBITDA TTM (EBITDA $108.8B)	8.4×
EV/(EBITDA − capex) TTM	11.2×
FY27 FCF yield (consensus EPS × 74%)	15.3%

Sum-of-the-Parts: single multiple regime — SOTP not needed.

Sensitivity (Benninga)

WACC \ g	2.0%	2.5%	3.0%	4.0%
9.15%	$1,075	$1,097	$1,123	$1,191
10.15%	$982	$997	$1,014	$1,055
11.15% (house)	$909	$918	**$929**	$956
12.15%	$849	$855	$862	$879
13.9% (β 2.0)	$767	$770	$773	$781

Downturn starts \ mid-cycle EPS	$30	$45	$60.9	$80	$100
FY28 (Bear timing)	$494	$608	$729	$873	$1,025
FY30 (consensus)	$719	$821	**$929**	$1,060	$1,196
FY31 (Bull timing)	$801	$893	$990	$1,107	$1,230

Price $856.50 sits between the $45 and $60.9 mid-cycle columns on the consensus timing. If the downturn comes in FY28, the price needs mid-cycle EPS of ~$70.

6. Mauboussin — Price-Implied Expectations

WACC	Mid-cycle EPS the price needs (consensus path to FY30, RONIC 18%)	× FY18 peak	× last-cycle average

10.15%	$41.6 (€37.2)	3.6×	9×
11.15% (house)	$50.2 (€44.9)	4.4×	11×
12.15%	$60.2 (€53.8)	5.2×	14×
13.9% (β 2.0)	$78.8 (€70.4)	6.8×	18×

At the house WACC the price needs ~$50 mid-cycle EPS vs a Base assumption of $60.9. The market now prices a mid-cycle **18% below** our Base (on Oct 5 it priced ~$90, 1.5× the Base). Against the last cycle it is still a 4.4× step-up of peak earnings: above the base rate, but the SCA floors are a new structural fact the base rate does not contain. Years of Consensus Priced In: replaced by the Through-Cycle table (Cyclical).

Moat and CAP: scale economies in a three-player DRAM oligopoly ($10B+ minimum fab, 3–4-year build) + HBM switching costs (multi-generation qualification, custom HBM4E with NVIDIA) + take-or-pay SCAs to 2030–31 with $134B RPO. Narrow-to-moderate, CAP 5–7 years, **conditional** on SCA floors holding through the first downturn (untested).

7. Fisher — Qualitative Checklist

- **#5/#6 Margins:** 86.8% GAAP gross in Q4, up five quarters running. Price-driven; management guided 'a more moderate rate of price increases' and chose higher pay over margin in Q1 FY27.
- **#11 Competitive edge:** real in HBM and data-center SSD. SK Hynix still leads HBM. CXMT is the credible low-end threat (4F² DDR5 claim, PC-maker sourcing).
- **#12 Profit outlook:** short-term exceptional (Q1 guide +13% QoQ). Long-term rests on the SCA floors.
- **#13 Equity financing:** none; net cash $55.5B ex deposits.
- **#14 Candour:** discloses RPO, deposit repayment schedule and SCA mechanics in the 10-K. Above average for the industry.
- **#15 Integrity:** insiders 0.24%; CEO sells on a 10b5-1 plan. The antitrust suit is an allegation, not a finding. Netlist settled. No disqualifier.

8. Ilmanen — Factor Read

Factor	Read
Value	Partly present: price below Base DCF (0.92×), 15% FY27 FCF yield. Absent against Korean peers (2.7–3.0×).
Quality	Present now (75% operating margin, net cash, accrual −3.4%). Through the cycle: ROIC FY22–25 averaged 6.5%.
Momentum	Mixed: 12–1 month still +280%, but −20% in a month, below MA50 ($976), SMH Stage 4 confirmed. Short-term momentum has turned.
Low beta	Absent: raw beta 2.40.

Net: value has reappeared and quality is intact, but short-term momentum has turned against it. Ilmanen's overlap (cheap + quality + momentum) is incomplete. The missing leg is the one the macro regime says can stay missing.

9. Quality Compounder Screen (Framework 8)

Criterion	Result	Evidence
ROIC 5-yr avg > 15%	PASS (borderline — ½)	FY22–26 average 28.9%; ex-FY26 only 6.5%: one year carries it
ROIC trend	PASS	1.6% (FY24) → 14.7% → ~119%
Operating margin > 15%	PASS	74.6% FY26 GAAP
FCF / NI > 80%	FAIL	73% FY26; 20% FY25; 16% FY24
Capex / revenue < 10%	FAIL	20.5% FY26 ($27.4B net); FY27 > $50B
Self-funded (dilution ≤ 1%/yr)	PASS	Diluted shares +0.4%/yr FY22–26
Management ownership > 0.5%	FAIL	Insiders 0.24%
Buybacks at/below value	FAIL	FY26 buybacks small; $35.16B programme from Dec 9 is formula-driven (100% of adjusted FCF), not value-driven
Goodwill < 40% of assets	PASS	$1.15B / $195.9B = 0.6%

4.5/9 (5 passes, one borderline) → QUALITY. With MoS Gate BASE the label is **QUALITY** at today's price. Thorndike: heavy, cycle-timed reinvestment; no M&A; debt cut to $5.2B; capital return now formula-bound to FCF. Disciplined on debt, untested on buyback price.

10. Sector Appendix — Semiconductors (Memory)

Metric	Current value	Read
Gross margin (IDM)	86.8% Q4 FY26 GAAP; 80.7% FY26	Far above 'strong' (> 45%); cyclical peak
Book-to-bill	Not disclosed. RPO $134B (¼ in 12 months); HBM CY27 mostly contracted	Demand-positive
Inventory days	129 (+9 QoQ)	Explained; watch for a second rise
AI / data-centre revenue %	~60% (10-K); CMBU + CDBU = 60.5% of FY26	Majority, but priced as memory
Customer concentration	No customer ≥ 10% FY26; top ten ~half	Improved vs FY25 (17%)

Capex / revenue	20.5% FY26; rising in FY27	Below the 30% line, rising in dollars
SCA coverage (memory rule)	RPO $134B over ≤ 5 yrs ≈ $27–33B/yr at floor prices ≈ 20–25% of FY26 revenue; >35% of revenue per management	Key mid-cycle support
Peer read-across	SK Hynix Q3: ~80% op. margin, DRAM ASP +high-20s% QoQ, sold out to 2029	Industry still tightening

11. Five-Year Ratio Trend Analysis

FY ends late Aug/early Sept. Historical multiples at fiscal-year-end close; FY26 column at the Nov 2, 2026 price ($969B market cap). Gross margin GAAP.

Metric	FY2022	FY2023	FY2024	FY2025	FY26 @ current price
Revenue	$30.76B	$15.54B	$25.11B	$37.38B	$133.19B
Revenue growth	+11.0%	−49.5%	+61.6%	+48.9%	+256.3%
Gross margin	45.2%	−9.1%	22.4%	39.8%	80.7%
EBITDA margin	54.9%	16.0%	38.2%	49.4%	81.7%
Net margin	28.2%	−37.5%	3.1%	22.8%	63.8%
ROE	17.4%	−13.2%	1.7%	15.8%	61.4%
P/E	7.4×	n/m	136.5×	16.1×	11.5×
P/S	2.0×	4.9×	4.2×	3.7×	7.3×
P/B	1.3×	1.7×	2.4×	2.5×	7.0×
EV/Revenue	2.0×	5.2×	4.5×	3.8×	6.9×
EV/EBITDA	3.6×	32.6×	11.7×	7.7×	8.4×
Debt/Equity	0.15	0.32	0.31	0.28	0.04
Net cash / (net debt)	+$1.8B	−$4.3B	−$5.9B	−$5.0B	+$55.5B ex deposits
FCF margin	10.1%	−39.4%	0.5%	4.5%	46.8%

Sector metric	FY2022	FY2023	FY2024	FY2025	FY2026
Capex / revenue	39.2%	49.4%	33.4%	42.4%	20.5%

FCF / net income	36%	n/m	16%	20%	73%
Inventory days (year-end)	144	181	166	136	147 (company DIO 129)
Diluted shares	1,122M	1,093M	1,118M	1,125M	1,143M
Largest customer % revenue	n/a	n/a	10%	17%	< 10%
U.S. share of revenue	n/a	n/a	52.4%	64.5%	68.6%
RPO	—	—	—	not material	$134B

Interpretation: gross margin from −9% to 87% in three years is the cycle in one row and confirms the Cyclical call. P/E fell from 136× (trough) to 11.5× while the price rose ~10×: a low P/E at peak earnings is the warning sign of the classic cyclical inversion, not a bargain. What is new in this cycle is in the last three rows: no customer ≥ 10%, a rising U.S. hyperscaler share, and $134B of contracted floor-priced RPO that did not exist a year ago. That RPO is the hard evidence behind a higher mid-cycle.

12. Final Verdict

TICKER	Track	Category	F-Score	F-Rating	DCF Bear-Base-Bull	MoS Gate	Compounder	AI Impact	Horizon	Thesis Invalidation
MU	B-SM	Cyclical	62 (V 50 / Q 70 / G 60)	Undervalued (threshold)	$489 / $929 / $1,280 (€437 / €830 / €1,143), WACC 11.15%	BASE	QUALITY (4.5/9)	TAILWIND	3–5 yr	SCA floors renegotiated or RPO shrinks; DRAM/NAND contract prices −25% before FY29; gross margin < 60%; loss of a lead HBM platform; CXMT qualified in hyperscaler servers

Verdict Score component	Score (0–10)	Weight	Weighted	Why
DCF / MoS Gate	6	3	1.8	BASE: price 0.92× Base
Business quality	5.0	3	1.5	4.5 / 9 passes

(Framework 8)				
Relative value	5	2	1.0	Middle of the ladder: above Korean peers, in line with SanDisk, below Base
Risks (Default Warnings)	10	2	2.0	None triggered
Total			**6.3 → GREEN**	Grade **WEAK**: gate holds by ~8% of price and fails at WACC +1.1 pt; one borderline Compounder pass

Summary. No Default Warning is triggered: margins rose five quarters in a row and cash conversion improved. Micron is a QUALITY business at a cyclical peak. After a 20% sector-wide de-rating, it trades 8% below a Base case built on consensus to FY30 and a mid-cycle EPS of $60.9. That earns a GREEN (WEAK) flag, up from YELLOW on Oct 5. The change is all price and rates; the business and consensus are unchanged.

What has to be true: consensus is roughly met through FY28 (the gate fails at 80% of it), and the SCA floors hold mid-cycle EPS near $50 or more, about 4.4× the last cycle's peak. The data point that would most change the verdict is the first quarter of falling spot DRAM prices: do RPO and SCA pricing hold at the floors? The nearest checkpoint is the Q1 FY27 print in mid/late December (guide $61.5B / $38.15).

Macro timing (today's /macro, SHORT bias, SMH Stage 4 confirmed): the long-term verdict says the price is now acceptable. The regime says the de-rating can continue. Memory peers fell 17–35% in a month, and the Stage 4 invalidation (SMH close > $564.4 / €504.0 on volume) has not fired. For a holder of a small existing position, the report supports holding. Any add would be staged rather than one lot, ideally after the Q1 FY27 print or an SMH MA20 reclaim. The buyback window from Dec 9 is a supporting flow, not a floor.

13. Investment Checklist Scorecard

Side output — not a gate; it does not change the Step 12 verdict.

Categoria	✓	✗	?	N/A	Score
Pre-investimento	7	2	1	0	7/10
Business Modeled Economics	6	0	1	0	6/7
Unit Economics e KPI	3	3	0	1	3/7
Strategia e Risorse	7	2	1	0	7/10
Power Dynamics	7	1	1	0	7/9

Check dei Poteri	2	5	0	0	2/7
Valutazione	8	2	1	0	8/11
Opzionalità	4	0	1	0	4/5
Management e Governance	5	1	5	0	5/11
Rischi	7	2	0	0	7/9
Totale	56	18	11	1	**56/86**

Coverage = (✓ + ✗) / (86 − N/A) = 74/85 = 87%. Most ? sit in Management e Governance (DEF 14A, interviews, culture): not enough information there, not a bad mark.

Pre-investimento

ID	Check	Mark	Evidence
PRE-1	Enough research	✓	FY26 10-K (filed Oct 9), Q4 8-K, consensus, peers, SK Hynix Q3 (Step 0)
PRE-2	Bear case / pre-mortem	✓	Bear $489: FY28 downturn as new capacity lands (Step 5)
PRE-3	Key drivers understood	✓	Price × bits; DRAM ASP trend via SK Hynix Q3 (Step 0)
PRE-4	Differentiated view vs market	✓	Market prices mid-cycle EPS ~$50 vs Base $60.9 (Step 6)
PRE-5	Favourable risk-reward	✗	Base +8% / Bull +49% vs Bear −43% from $856.50 (Step 5)
PRE-6	Catalyst	✓	$35.16B buyback from Dec 9; Q1 FY27 print mid/late Dec
PRE-7	Disconfirming information known	✓	Invalidation list (Step 12)
PRE-8	Why this vs existing holdings	?	Portfolio question; user holds a small MU position
PRE-9	Buy more after −50%	✓	−50% ≈ $428, below Bear $489 → would clear the BEAR gate
PRE-10	Not a value trap / turnaround	✗	Cyclical at peak: low P/E on peak EPS (Step 3)

Business Model ed Economics

ID	Check	Mark	Evidence
BM-1	Target client & value proposition	✓	Data center ~60% of FY26 revenue (10-K)
BM-2	Revenue model & mix	✓	10-K Note 20: CMBU 32% / CDBU 28% / MCBU 27% / AEBU 12%
BM-3	Granular cost structure	?	Segment COGS and R&D from 10-K; cost per bit not available
BM-4	Operating leverage	✓	Operating margin −35% (FY23) → 75% (FY26)

BM-5	Go-to-market	✓	Direct to OEMs/hyperscalers; take-or-pay SCAs
BM-6	Unexploited pricing power	✓	SCA price bands; floors above prior peak margins (10-K)
BM-7	Strategic partners	✓	NVIDIA custom HBM4E; CHIPS Act; SCA customers

Unit Economics e KPI

ID	Check	Mark	Evidence
UE-1	Unit economics good, not temporary	✗	87% gross margin is price-driven
UE-2	3–4 key KPIs tracked	✓	Bits, ASP, gross margin, DIO 129
UE-3	Cash cycle understood	✓	OCF $89.7B; deposits in financing (Step 4)
UE-4	ROIC high and can still grow	✗	~119% FY26 at peak; consensus FY30 EPS −32%
UE-5	Capital intensity	✗	Capex 20.5% of revenue; FY27 > $50B
UE-6	Incremental margins	✓	FY25→FY26 incremental operating margin ~93%
UE-7	Gross profit vs marketing	N/A	Not marketing-driven

Strategia e Risorse

ID	Check	Mark	Evidence
STR-1	Strategy understood	✓	HBM, DC SSD, node leadership, contracted supply
STR-2	Value chain mapped	✓	Memory → accelerators → hyperscalers
STR-3	Value-chain evolution	?	Custom HBM co-design not analysed in depth
STR-4	Vertical integration	✓	IDM: fabs in Taiwan, U.S., Singapore, Japan (10-K long-lived assets)
STR-5	Key success factors	✓	Node cadence, capex timing, HBM qualification
STR-6	Oligopoly structure	✓	Three-player DRAM; CXMT entrant
STR-7	Rational past conduct	✗	FY23 capex war (−9% GM); 2026 antitrust suit
STR-8	Barriers to entry	✓	$10B+ fabs; multi-year builds
STR-9	Five forces favourable	✗	Concentrated buyers + CXMT; favourable only in shortage
STR-10	Highest-value resources / synergies	✓	Process + packaging shared across HBM/SSD

Power Dynamics

ID	Check	Mark	Evidence
PD-1	Strategic inflection point	✓	Spot → take-or-pay SCAs ($134B RPO)
PD-2	Company phase	✓	Stability-phase company at a cyclical peak
PD-3	Competitors segmented	✓	10-K list: Samsung, SK Hynix, Kioxia, SanDisk, CXMT, YMTC
PD-4	Why not a commodity	✗	Conventional DRAM/NAND still commodity
PD-5	Powers analysed	✓	Scale + HBM switching costs
PD-6	Main Power identified	✓	Scale economies in an oligopoly
PD-7	Cost & pricing vs competitors	?	Cost per bit vs peers unavailable
PD-8	Moat incl. contrary data	✓	Contrary: CXMT $4F^2$, antitrust, FY23 collapse
PD-9	Multi-business strategy	✓	DC SSD, automotive, physical AI

Check dei Poteri

ID	Check	Mark	Evidence
POW-1	Unique resources	✗	Competitors have equivalent nodes
POW-2	Counter-positioning	✗	None
POW-3	Switching cost	✓	HBM qualification + take-or-pay SCAs to 2030–31
POW-4	Network economies	✗	None
POW-5	Scale economies	✓	Oligopoly with $27–50B+ annual capex barrier
POW-6	Branding	✗	None
POW-7	Process power	✗	No durable lead; third in HBM

Valutazione

ID	Check	Mark	Evidence
VAL-1	TAM analysed	✓	HBM TAM > $100B by 2028 (company)
VAL-2	Market share	✓	DRAM ~22–24%, HBM ~21%, NAND 13–15%
VAL-3	Implications of assumptions (invert)	✓	Price needs mid-cycle EPS ~$50 (Step 6)
VAL-4	Base rates checked	✓	Last cycle −$5.34 / $4.40 / $11.51

VAL-5	Organic growth	✓	All organic; goodwill 0.6%
VAL-6	Why revenue grows / falls	✓	Sequential growth through FY27; capacity wave late 2027–28
VAL-7	Costs in detail and evolution	?	FY27 opex +$2.5B; wafer cost path not modelled
VAL-8	Working capital / capex can improve	✗	Capex rising; DIO +9 days
VAL-9	Intrinsic value estimated	✓	$489 / $929 / $1,280
VAL-10	No common errors	✓	Deposits deducted; FCF from 10-K; g < WACC
VAL-11	Possible, plausible, probable	✗	Gate fails at 80% of consensus: plausible, not probable

Opzionalità

ID	Check	Mark	Evidence
OPT-1	Resources extend to new businesses	✓	Physical AI, DC SSD
OPT-2	Economics of similar products	?	Not researched
OPT-3	Differentiated competence for launches	✓	First custom HBM4E with NVIDIA
OPT-4	Unreported drivers	✓	HBM revenue not broken out
OPT-5	Traction of options	✓	CDBU revenue 5.2× in FY26

Management e Governance

ID	Check	Mark	Evidence
MGT-1	Organisation & key roles	✓	CEO Mehrotra; President/COO Bhatia; President/CTPO DeBoer (Aug 2026)
MGT-2	DEF 14A incentives	?	Not read this pass
MGT-3	Clean governance, stable top team	?	Securities class action pending; no finding
MGT-4	Founder / aligned incentives	✗	Insiders 0.24%; CEO sells on 10b5-1
MGT-5	Interviews / integrity	?	Not researched
MGT-6	Culture (Glassdoor/Reddit)	?	Not researched
MGT-7	Unionised workforce	✓	10-K: ~61,000 employees; some have joined unions. Labour action is a disclosed risk, not a current issue
MGT-8	No short-termism	✓	Raised pay/R&D over protecting the Q1 margin

MGT-9	Operational excellence	✓	Six record quarters; Q4 above guidance
MGT-10	Takes innovative rivals seriously	?	No commentary on CXMT found
MGT-11	Value-creating capital allocation	✓	No M&A; debt cut; Netlist settled

Rischi

ID	Check	Mark	Evidence
RSK-1	Risk factors read	✓	10-K Item 1A: 8 stressed risks (Step 0)
RSK-2	No excessive concentration	✓	10-K Note 21: no customer ≥ 10% in FY26 (17% FY25)
RSK-3	Cyclicality understood (not cyclical)	✗	Revenue −49% FY23; GM −9% → 87%
RSK-4	No accounting red flags	✓	10-K: accrual −3.4%; deposits in financing
RSK-5	Leverage manageable	✓	Debt $5.2B vs cash $73.5B
RSK-6	Goodwill / failed acquisitions	✓	10-K: goodwill $1.15B, 0.6% of assets
RSK-7	Not a fad	✗	Revenue 3.6× in one year on the AI capex wave
RSK-8	No technical debt	✓	Leading nodes 1γ/G9
RSK-9	Still nimble	✓	BU reorganisation; new COO

Weakest category (most ✗, excluding Powers): Unit Economics e KPI (3 ✗).

✗ in PRE and RSK: PRE-5, PRE-10, RSK-3, RSK-7.

Powers present: POW-3 Switching cost; POW-5 Scale economies.